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Report Highlights:

The outlook for Brazil's 2026/27 coffee harvest is positive, especially for arabica coffee, driven by optimal weather in major growing regions. The anticipated record crop follows five years of low production. Coffee exports for MY 2026/27 are forecast to surge by 30 percent, supported by the expected bumper harvest. However, exporters remain cautious, holding back on deals amid low stocks and uncertainties around a possible El Niño event, which could affect the end of this harvest and the 2027/28 cycle.

COFFEE

Production, Supply, and Distribution

Table 1
Production, Supply, and Distribution of Coffee

Coffee, Green	2024/2025		2025/2026		2026/2027
Market Year Begins	Jul 2024		Jul 2025		Jul 2026
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Beginning Stocks (1000 60 Kg Bags)	2085	2085	440	955	3895
Arabica Production (1000 60 Kg Bags)	44000	44500	38000	38000	47500
Robusta Production (1000 60 Kg Bags)	21000	21000	25000	25000	24400
Other Production (1000 60 Kg Bags)	0	0	0	0	0
Total Production (1000 60 Kg Bags)	65000	65500	63000	63000	71900
Bean Imports (1000 60 Kg Bags)	0	0	0	0	0
Roast & Ground Imports (1000 60 Kg Bags)	75	90	75	90	90
Soluble Imports (1000 60 Kg Bags)	0	0	0	0	0
Total Imports (1000 60 Kg Bags)	75	90	75	90	90
Total Supply (1000 60 Kg Bags)	67160	67675	63515	64045	75885
Bean Exports (1000 60 Kg Bags)	41000	41000	37000	34000	45000
Rst-Grnd Exp. (1000 60 Kg Bags)	50	50	50	70	70
Soluble Exports (1000 60 Kg Bags)	3700	3700	3700	3800	4000
Total Exports (1000 60 Kg Bags)	44750	44750	40750	37870	49070
Rst,Ground Dom. Consum (1000 60 Kg Bags)	21000	21000	21300	21300	21400
Soluble Dom. Cons. (1000 60 Kg Bags)	970	970	980	980	990
Domestic Consumption (1000 60 Kg Bags)	21970	21970	22280	22280	22390
Ending Stocks (1000 60 Kg Bags)	440	955	485	3895	4425
Total Distribution (1000 60 Kg Bags)	67160	67675	63515	64045	75885
(1000 HA), (1000 60 KG BAGS)					

The 2026/27 coffee harvest is anticipated with optimism. The crop could set a new record, ending a five-year period in which arabica production consistently underperformed due to adverse weather conditions.

Optimal weather conditions in Brazil's main producing regions have overall benefited coffee production for the 2026/27 season. Although rainfall was somewhat irregular in the last quarter of 2025, the volume was sufficient to ensure good development of the main flowering periods in September and October. At the beginning of 2026, rainfall became more regular, which guaranteed excellent crop performance.

The full harvest arrives at a time when low domestic and international stocks have caused exporters to hold back on deals. Additionally, the possibility of an El Niño phenomenon raises an alert on producers

on the possible effects to the end of the 2026/27 harvesting and the 2027/28 coffee cycle. These factors are strongly influencing coffee prices in the Brazilian market.

Coffee Production

Post sets its total Brazilian coffee production forecast for marketing year (MY) 2026/27 (July-June) at 71.9 million bags (60 kilograms per bag), green bean equivalent, a 14 percent increase over the estimate for MY 2025/26, set at 63 million bags (60 kilograms per bag). The increase is attributed to the positive effects of the biennial cycle on coffee trees in key producing regions, favorable weather conditions, and the ongoing rise in global coffee prices. These factors have encouraged the expansion of area dedicated to coffee production.

The biennial cycle is a natural feature of coffee plants, characterized by alternating years: one with abundant flowering and high yields (referred to as a positive or on-biennial year), followed by a year with less flowering and lower yields (a negative or off-biennial year). This cycle allows the plant to recover before the next harvest. When weather conditions are favorable, positive years typically result in higher production.

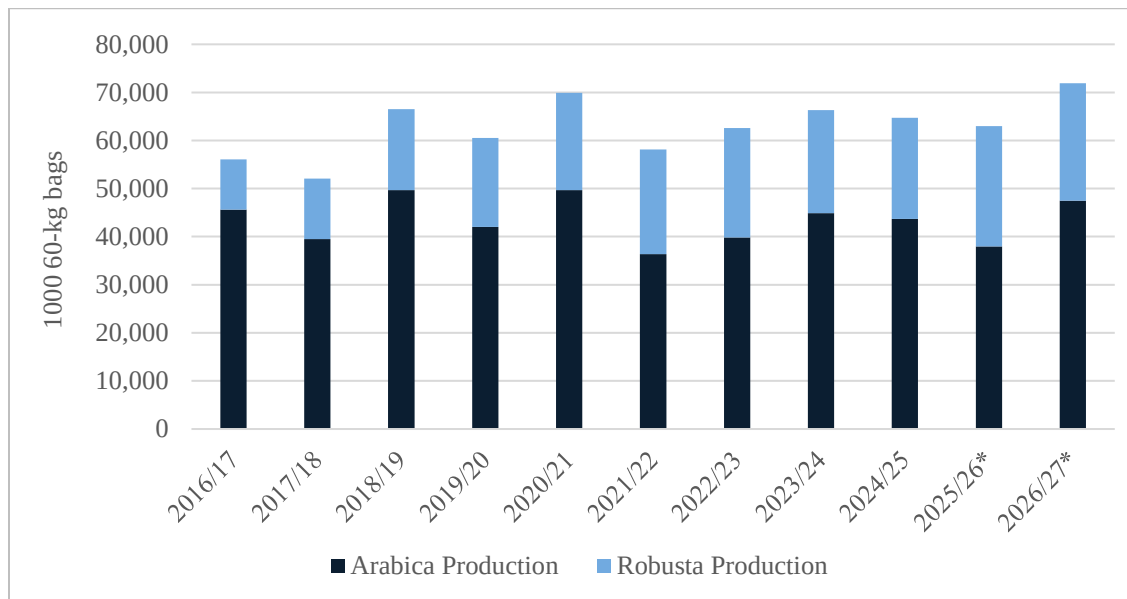
Coffee cultivation areas are expanding in Brazil, largely due to rising international demand and higher coffee prices. Additionally, advances in technology enabled producers to plant more coffee trees per hectare, further boosting production.

Arabica production for MY 2026/27 (July-June) is forecast at 47.5 million bags (60 kilograms per bag), a 25 percent increase in relation to the previous cycle. The strong growth is due to the positive biennial cycle, an increase in cultivated areas, technological improvements in crop management, and more favorable climatic conditions. There were more registered below-average rains in 2025, but milder temperatures during the pre-flowering stage supported good development of the arabica crops. Additionally, the exchange ratio between fertilizers and coffee was positive throughout 2025, which encouraged producers to invest in crop management practices. This scenario supports the positive projection for the 2026/27 harvest.

For MY 2026/27 (July-June), robusta/conilon production is forecast at 24.4 million bags (60 kilograms per bag), down from the MY 2025/26 estimate set at 25 million bags. This year, colder weather and periods of excessive rainfall in some of the main producing regions led to a slightly lower yield compared to 2025. Additionally, the strong growth of the 2025/26 harvest made it difficult for crops to sustain the same level of production year after year.

Producers remain vigilant about the impacts of climate change, which are expected to significantly affect coffee production for both arabica and robusta in future harvests. As a result, many are adjusting their management practices, seeking more shaded areas, and searching for resilient varieties.

Figure 1
Brazilian Coffee Production



Data Source: USDA/Brasilia Office of Agricultural Affairs (OAA) - Post Brasilia; 2025/26 and 2026/27 as estimates; Table Post Brasilia

Brazil's National Supply Company (CONAB) forecasts 2026/27 coffee production at 66.7 million bags, 18 percent higher than 2025, due to a strong rise in arabica production. This would set a new record, surpassing 2020's estimated 63 million bags. Arabica is forecast at 45.7 million bags, a 28 percent gain over the previous harvest. Robusta is set at 20.9 million bags, up nearly 1 percent from 2025. Increased output is driven by better weather, a larger harvested area, and more advanced crop management.

The Brazilian Institute of Geography and Statistics (IBGE) forecasts Brazil's 2026/27 coffee harvest at 65.1 million 60-kg bags, a 15 percent increase from the 2025 crop. Arabica production is set at 44 million bags, 20 percent higher than the previous harvest, while Robusta coffee is also forecast to rise, reaching a record 21 million bags, almost 5 percent higher than the previous year. According to IBGE, this growth results from optimal weather in the main producing states.

Despite these projections, it is important to note that CONAB and IBGE, though both official Brazilian government agencies, use different methodologies to forecast coffee production and have historically provided lower estimates compared to USDA.

Harvest Outlook

The 2026/27 coffee harvest began slowly across Brazil in April, then gained pace by mid-May, which is the standard for the crop. The production cycle for arabica and robusta coffees proceeded satisfactorily, with isolated instances of excessive heat and low rainfall in late 2025 and early 2026. These weather events did not affect the 2026 crop, which shows excellent productivity.

The National Oceanic and Atmospheric Administration (NOAA) notes a 60 percent chance of the El Niño weather phenomenon occurring between May and July. Similarly, models from the International Research Institute for Climate and Society (IRI) support this trend, forecasting El Niño into early 2027.

Given these forecasts, Brazil's winter season beginning in June should experience fewer frost events. However, concerns emerge for the 2027/28 coffee harvest. Above-average temperatures during flowering and grain development, combined with potential shifts in rainfall patterns, could negatively impact crop yields.

This scenario challenges the 2026/27 harvest in major coffee regions like Central and South America, Southeast Asia, and East Africa. Even if a large harvest is forecast for Brazil, climate uncertainties may cause price fluctuations globally and domestically.

Table 2
Brazilian Coffee Production by State (Million 60 kg bags)

State/Variety	MY 2022/23	MY 2023/24	MY 2024/25	MY 2025/26	MY 2026/27
Minas Gerais	27.3	33.1	32.1	26.7	34.1
Southwest	14.4	18	17	14	17.6
Central-western	5	7.4	6.3	5.2	7.5
Southeast	7.9	7.7	8.8	7.5	9
Espirito Santo	21	18	18.5	20.9	21.4
Arabica	4.4	3.0	3.8	3.2	4.4
Robusta	16.6	15	14.7	17.7	17
São Paulo	4.8	5.6	5.3	4.8	5.5
Paraná	0.7	0.9	0.7	0.7	0.7
Others	8.8	8.7	8.9	9.9	10.2
Arabica	2.6	2.3	2.6	2.6	2.8
Robusta	6.2	6.4	6.3	7.3	7.4
Total	62.6	66.3	65.5	63	71.9
Arabica	39.8	44.9	44.5	38	47.5
Robusta	22.8	21.4	21	25	24.4

Data Source: USDA/Brasilia Office of Agricultural Affairs (OAA) - Post Brasilia; Table Post Brasilia

ARABICA

The 2026/27 Arabica coffee harvest in Brazil began slowly in most producing states and has gained momentum since mid-May. Data from CONAB shows that arabica coffee comprises 81 percent of the total coffee area in the country, with Minas Gerais being responsible for almost 72 percent of Brazil's arabica production.

Figure 2

Main Producing States of Arabica Coffee in Brazil



Data Source: National Supply Company (CONAB); Figure Post Brasilia

- **Minas Gerais:** According to the state's Secretariat of Agriculture, Livestock, and Supply, the state is expected to see a 5 percent increase in area for the 2026 coffee harvest and a 20 percent increase in yield, reaching 28.6 bags per hectare (bags/ha). As such, coffee production should see a 26 percent rise in relation to the 2025 harvest. The expected increase is attributed to the positive biennial cycle and better rainfall, especially before flowering and through March, supporting productivity.
- **São Paulo:** The state, which produces exclusively arabica coffee, experienced varied weather conditions across its growing regions adversely affecting production. Consequently, many producers reported crops with more than one flowering period, mostly under favorable weather. This allowed for a good start to the cycle, followed by stable conditions that supported proper fruit development. As a result, the 2026 harvest benefited greatly, showing growth of more than 15 percent over the previous cycle.
- **Espírito Santo:** Over 95 percent of its arabica crops grown without irrigation in the southern region. The 2026 harvest is expected to increase, driven by the high biennial cycle of the crops, a slight increase in area and improved management practices.

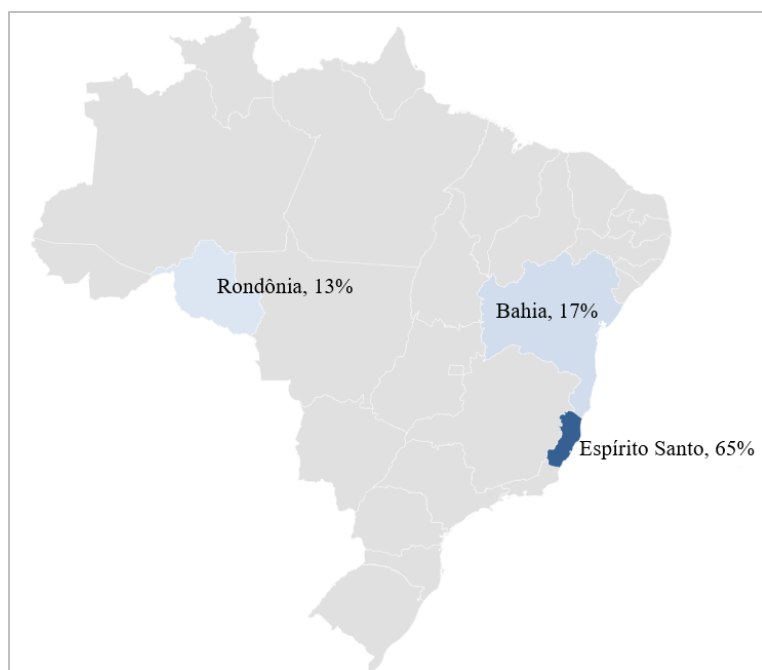
ROBUSTA/CONILON

Robusta coffee plants can handle higher temperatures, preferring 72°F to 79°F (22°C to 26°C). They are less prone to pests and disease, so they need less fertilizer and pesticides. This makes them cheaper to grow than arabica coffee trees. Robusta plants are also less affected by biennial cycles.

Espírito Santo is responsible for 70 percent of the robusta area in Brazil. Bahia has established itself as the second-largest producer of robusta coffee in the country, surpassing the state of Rondônia. This growth in Bahia is due to its adoption of advanced technology and the expansion of high-performance irrigated areas, which enable higher productivity and support continuous increases in robusta production.

Figure 3

Main Producing States of Robusta/Conilon Coffee in Brazil



Data Source: National Supply Company (CONAB); Figure Post Brasilia

- **Espírito Santo:** The state alone is responsible for approximately 20 percent of the world's robusta coffee supply. According to data from the Espírito Santo Institute of Research, Technical Assistance, and Rural Extension (INCAPER), approximately 70 percent of robusta crops are managed using irrigation. Robusta coffee production in 2026 is forecast to be 4 percent lower than in the previous cycle. However, this drop follows the record yields of 2025.
- **Bahia:** The state is the leader in the Northeast in coffee production and currently ranks fourth among Brazil's largest overall coffee producers. Bahia has emerged as a major coffee hub, cultivating both arabica and robusta varieties within highly mechanized systems focused primarily on the production of premium-quality beans and specialty coffees.

Most of the 130 coffee-producing municipalities in Bahia are in the Far South, Southwest, and *Chapada Diamantina* regions. According to the Secretariat of Agriculture, Livestock, Irrigation, Fisheries and Aquaculture (SEAGRI), the state still has the potential to expand coffee planting to other regions. To support this, the government is investing in the production of high-quality beans, modernizing the production system, providing technical assistance, marketing infrastructure, and strengthening cooperatives.

- **Rondônia**: According to CONAB, the state is expected to see an increase of more than 19 percent in robusta production in 2026 compared to the previous season. This result is due to favorable weather conditions since the beginning of the cycle, combined with the renewal of crops with higher-yielding clonal coffee plants.

Coffee Prices

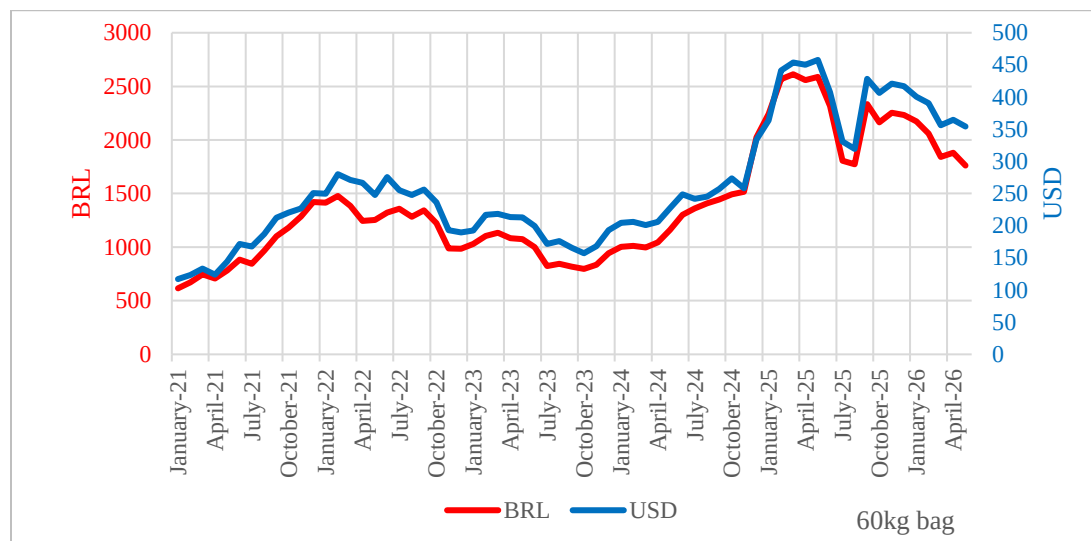
The limited supply of arabica coffee on the Brazilian market increased domestic coffee prices during the end of 2025 and the first two months of 2026. However, with the forecast of an increased arabica harvest for the 2026/27 season, prices started to decrease. Robusta coffee, despite having larger stock from the 2025/26 harvest, continued to see declining prices. The arrival of the 2026/27 crop, which began harvesting in late April, further contributed to this downward trend.

Additionally, fears regarding the potential arrival of the El Niño weather phenomenon in the second half of the year have dampened sales activity and kept coffee prices in check. According to Post contacts, some Brazilian producers who were in the process of liquidating their remaining 2025/26 stocks are now holding back on sales, growing increasingly apprehensive about the potential impact on the 2026 crop.

Post contacts shared that the possibility of a strong El Niño event in the second half of 2026 is a factor that will likely contribute to holding coffee prices. This timing is particularly important because coffee planting takes place in the second half of the year, a period when a stable climate is essential for crop development. As a result, it is expected to not have a significant relief in coffee prices for the consumer. Instead, there are likely to be minor fluctuations throughout the year, due to global stocks that remain depleted.

Data from the University of São Paulo's Center for Advanced Studies in Applied Economics (CEPEA) show that in April 2026, arabica coffee averaged BRL 1811.87 (USD 360.03) per 60 kg bag, a 5 percent decrease in relation to the previous month, when it averaged BRL 1913.89 (USD 365.87). Compared to April 2024, when it was traded at BRL 2523.93 (USD 437.30), prices fell 28 percent.

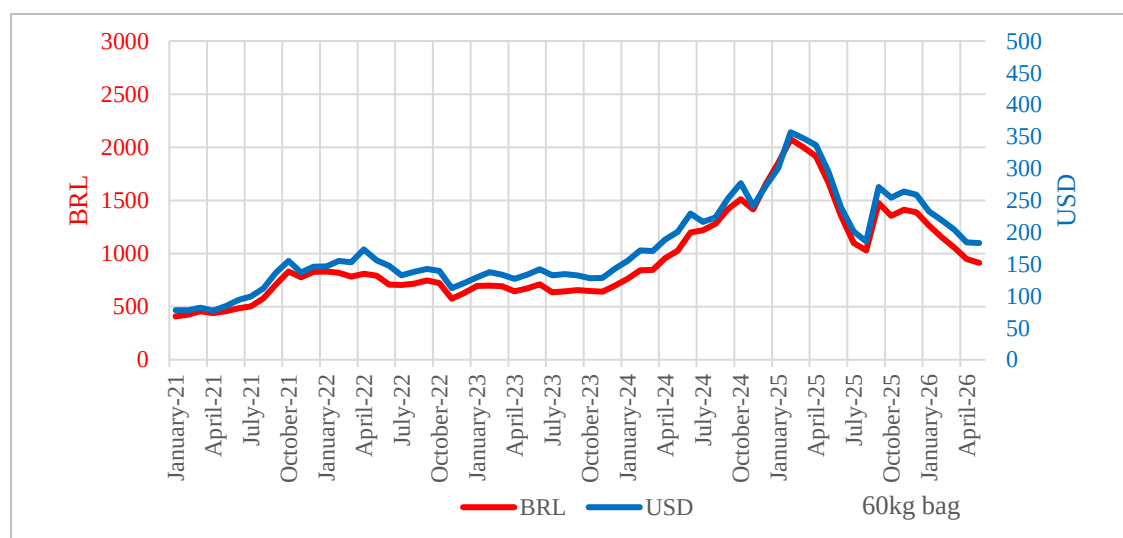
Figure 4
Evolution of Arabica Coffee Prices in Brazil



Data Source: University of São Paulo Center for Advanced Studies in Applied Economics (CEPEA), Arabica coffee delivered to São Paulo; Graph Post Brasília

Robusta coffee prices saw an even greater drop. In April 2026, robusta was traded at BRL 917.05 (USD 182.26), down 10 percent from the previous month. Compared to April 2025, when it averaged BRL 1692.32 (USD 293.23) per 60 kg bag, prices decreased by a significant 46 percent.

Figure 5
Evolution of Robusta/Conilon Coffee Prices in Brazil



Data Source: University of São Paulo Center for Advanced Studies in Applied Economics (CEPEA), Arabica coffee delivered to São Paulo; Graph Post Brasília

Uncertainties are pressuring prices of agricultural inputs, fertilizers, fuels, and energy. This has raised production costs and worsened the terms of trade. In March 2026, producers needed 4.66 bags of arabica

coffee to buy one ton of fertilizer. By April, this rose to 4.97 bags, showing lost purchasing power. The year-on-year comparison is also negative. In April 2025, only 2.25 bags were needed to buy the same amount of fertilizer.

Producers Seek Alternatives to Ease the Burdens of Production Costs

Production costs continue to impact Brazilian farmers. For example, fertilizer costs have risen, along with freight costs, mainly due to increased diesel prices. Diesel climbed about 24 percent in March 2026 in relation to the previous month, according to Brazil's National Petroleum Agency (ANP).

Meanwhile, the increased availability of coffee beans, driven by the arrival of the 2026 crop, is putting downward pressure on prices. For producers, this will mean tighter profit margins, precisely at a time when costs remain elevated.

In this context of tighter margins, producers across Brazil are also concerned about a sharp drop in available field labor. Many coffee properties in states like Espírito Santo, Minas Gerais, and Paraná are in mountainous regions with rugged terrain. Consequently, some producers are adopting a strategy known as "Zero Crop, 100% Crop." This management technique embraces the concept of the crop's biennial nature, where the plant traditionally exhibits a year of high productivity followed by a year of low productivity.

The "Zero Crop" method divides coffee farms into two plots. Trees in one area undergo skeleton pruning on a set schedule, which reinvigorates the plants and boosts productivity in the next cycle. The other plot, pruned during the previous harvest, yields more beans. In the following cycle, managers swap the treatment schedule for the two plots.

Figure 6

Coffee Plants in a Single Property Under the “Zero Crop, 100% Crop”

Coffee tree at “Zero Crop”: no coffee fruit production following skeleton pruning



Coffee tree at “100% Crop”: coffee fruits in production after previous “resting” cycle



Photos: Post Brasilia (Marcela Formiga) on 04/28/2026

As a result, coffee producers benefit from the Zero Crop system which reduces the area needed for harvest within the property in any given year, allowing them to focus efforts on crops currently in their high-yield phase. Additionally, this system significantly increases the organic matter content of the fields by recycling plant residue from frequent pruning. This increase in organic matter also translates into optimized fertilizer usage; in plots exclusively designated for pruning, fertilizer requirements are notably lower.

In addition to optimizing fertilizer use, another advantage of this system is pest control, specifically against diseases and pests such as the coffee borer. The rotation of production across the plots prevents the accumulation of harvest residues from one year to the next. Additionally, Post contacts reported coffee crops that underwent skeleton pruning with the "Zero Crop" technique experienced fewer losses. This benefit is attributed to the Zero Crop method: by allowing trees a full year of rest from fruit production, the technique helps them recover and reduces the likelihood of damage from mechanical harvesting equipment, thereby supporting overall plant health.

Building upon these advantages, for the "Zero Crop" system to be both efficient and economically viable, it is essential that the coffee plants possess a robust structural frame, desuckering is performed consistently, and that pruning is carried out at the precise, appropriate time. The earlier the pruning is

performed, the greater the yield is expected to be, as this system makes it possible to produce two crops in a single year.

However, despite these benefits, the "Zero Crop" technique is not common in specialty coffee production. Cultivating and harvesting these beans requires more specialized and steady management, as well as certifications that take sustainability practices into account.

Other strategies adopted by coffee growers also involve diversifying production with flowers to boost income in the off-season. Other producers have reported techniques such as inter-row planting, which consists of intercropping other crops (such as beans or corn). Other options include planting green cover crops (such as *Brachiaria*) to protect and nourish the soil or other grasses to attract bugs that prey on coffee pests. These approaches ensure steady cash flow and reduce fertilizer use, helping both environmental and economic sustainability for growers.

In addition to these on-farm diversification strategies, another alternative gaining traction is shortening the production chain. This approach puts producers in direct contact with the end user. Producers now invest in specialty coffees under their own brands. They sell directly to coffee shops or consumers, leveraging digital channels to tell their product's story and sell to consumers. In doing so, they reduce the distribution of profits throughout the supply chain.

Despite efforts to optimize operations and market reach, logistical setbacks still challenge Brazil's coffee production chain. A survey by the Council of Coffee Exporters of Brazil (CECAFE) found that exporters faced additional costs of BRL 66.1 million in 2025 due to inadequate containerized cargo conditions. Issues included truck queues, overcrowded patios, berth shortages, rollovers, delays, and vessel schedule changes. These factors caused millions more in losses through extra storage, pre-stacking, and detention fees.

On average, 55 percent of vessels faced delays or schedule changes each month. As a result, 1,824 containers (601,819 bags) of coffee were not exported monthly. This resulted in a loss of foreign exchange revenue for Brazil of USD 2.64 billion in 2025.

Coffee Consumption

Post sets its forecast for Brazil's total domestic coffee consumption for MY 2026/27 (July-June) at 22.39 million coffee bags (21.4 million bags of roast/ground and 990,000 bags of soluble coffee). This represents a slight 0.5 percent increase relative to the total consumption estimated for MY 2025/26. Domestic consumption tends towards stability, despite signs of occasional contraction due to high product prices.

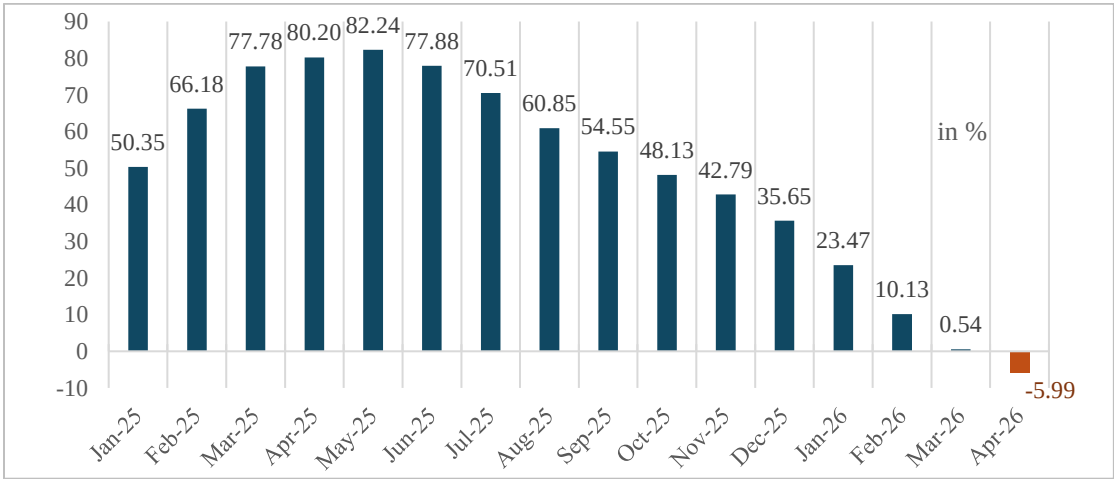
Table 3
Domestic Consumption of Coffee in Brazil

Year	Million bags		Per Capita Consumption (kg/inhabitant per year)	
	Roast/Ground	Soluble/Instant	Green	Roasted
2005	14.6	0.9	5.1	4.1
2010	18.1	1.0	6.0	4.8
2015	19.4	1.1	6.1	4.9
2016	20.1	1.1	6.3	5.0
2017	20.9	1.1	6.4	5.1
2018	19.9	1.1	6.0	4.8
2019	20.0	0.9	6.0	4.8
2020	20.3	0.9	6.0	4.8
2021	20.5	1.0	6.1	4.8
2022	20.3	1.0	6.0	4.8
2023	20.6	1.1	6.4	5.1
2024	20.9	1.0	6.3	5.0
2025	20.2	1.2	6.0	4.8

Data Source: Brazilian Coffee Industry Association (ABIC); *Note: Estimates refer to the November-October period. As of 2018, roast/ground consumption figures exclude consumption from on-farm consumption, coffee shops, and other informal sources; Table Post Brasilia*

According to data from the Brazilian Institute of Geography and Statistics (IBGE), inflation for ground coffee has dropped each month since July 2025. However, this drop has not fully reversed the price surge of previous years.

Figure 7
Variation in Price of Ground Coffee (Monthly Inflation Variation in 12 months)



Data Source: Brazilian Institute of Geography and Statistics (IBGE); *Graph: Post Brasilia*

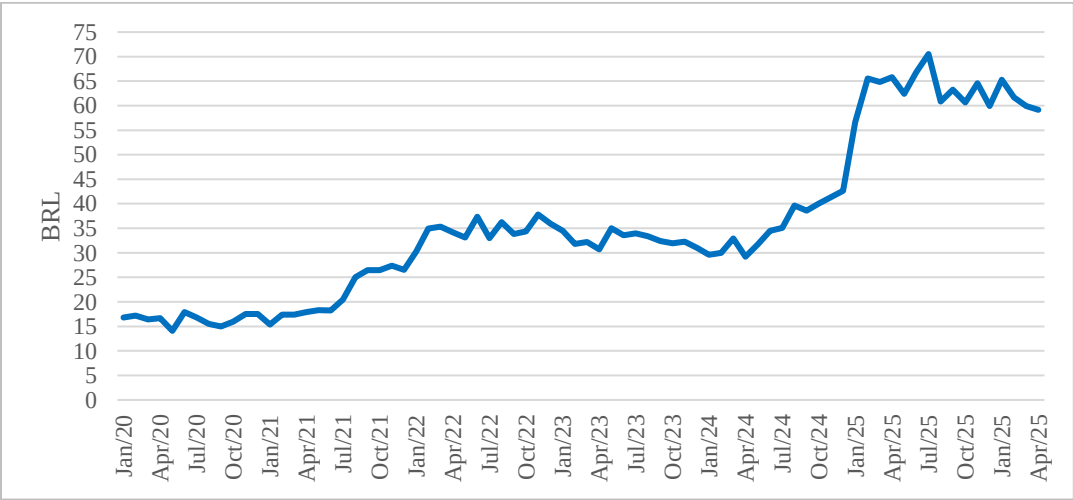
Nevertheless, the cost of the basic food basket rose in all Brazilian state capitals and the Federal District in April 2026, marking the second consecutive month of widespread increases in the country, according to research by the Inter-Union Department of Statistics and Socioeconomic Studies in partnership with CONAB. In the first four months of the year, all Brazilian state capitals showed an increase in the average cost of the basic food basket, with variations ranging from 1.56 percent to 14.80 percent. The main drivers of these increases were price hikes in whole milk, beans, tomatoes, ground coffee, and beef.

Data from the Brazilian Coffee Industry Association (ABIC) show that coffee consumption in Brazil declined by slightly more than 2 percent in 2025 compared to 2024. This decline is driven by rising prices, inflation, and population growth. In 2025, the average retail price of roasted and ground coffee in the Southeast, the main consuming region, rose nearly 6 percent, peaking at BRL 70.52 per kilogram in July. Prices then dropped gradually, closing the year at BRL 59.96 per kilogram.

According to ABIC, from November 2024 to October 2025, per capita coffee consumption in Brazil was 6.02 kg of green coffee and 4.82 kg of roasted and ground coffee per person. This was a decline of nearly 4 percent compared to the preceding 12 months. Furthermore, on average, Brazilians consumed 1,400 cups or about 3.8 cups per day.

Following the drop of coffee prices in supermarkets, consumption in Brazil grew again. In the first four months of 2026, ABIC reported a 2 percent rise over last year. The recovery began mostly in March, with growth exceeding 10 percent versus March 2025. In April 2026, consumption rose nearly 4 percent from April the previous year. The Brazilian Association of the Soluble Coffee Industry (ABICS) estimates that the consumption of soluble coffee in Brazil has grown at an average rate of 3 percent per year since 2016.

Figure 8
Average Price of Roasted and Ground Coffee in Brazilian Retail (BRL/kg)



Data Source: Brazilian Coffee Industry Association (ABIC), with estimates referring to Minas Gerais, Rio de Janeiro, and São Paulo since January 2020; Graph Post Brasilia

Coffee Trade

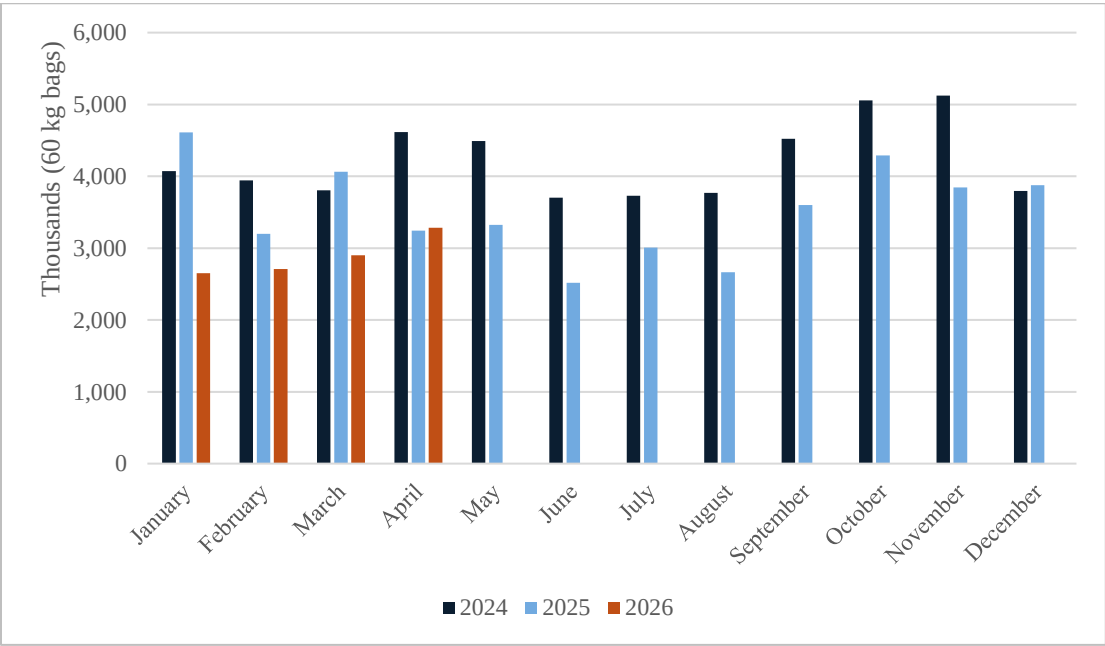
Exports

Post forecasts total coffee exports for MY 2026/27 (July-June) at 49 million 60 kg bags, a 30 percent increase from the MY 2025/26 export estimate, set at 37.8 million bags. The strong increase in exports is based on the forecast of record harvest in 2026. Nevertheless, current low stocks have halted expectations of an even higher export volume, with exports numbers in early 2026 showing a decline in relation to the previous year.

Brazil exported 11.5 million 60-kilogram bags of coffee between January and April 2026, a 24 percent decrease compared to the same period last year. This decline reflects low domestic stocks, a result of limited production in recent cycles and strong external demand. Growth in exports was gradual, with April registering the first month in 2026 that surpassed 2025 export figures.

In April 2026, Brazil exported almost 3.3 million 60-kg bags of coffee, a 1.2 percent increase in comparison to the same month in 2025. Despite the growth, export constraints are likely to persist until the 2026/27 harvest accelerates from mid-May onward and are expected to recover in the second half of the year, following the full entry of national production into the market.

Figure 9
Brazilian Coffee Exports (2024 to 2026)



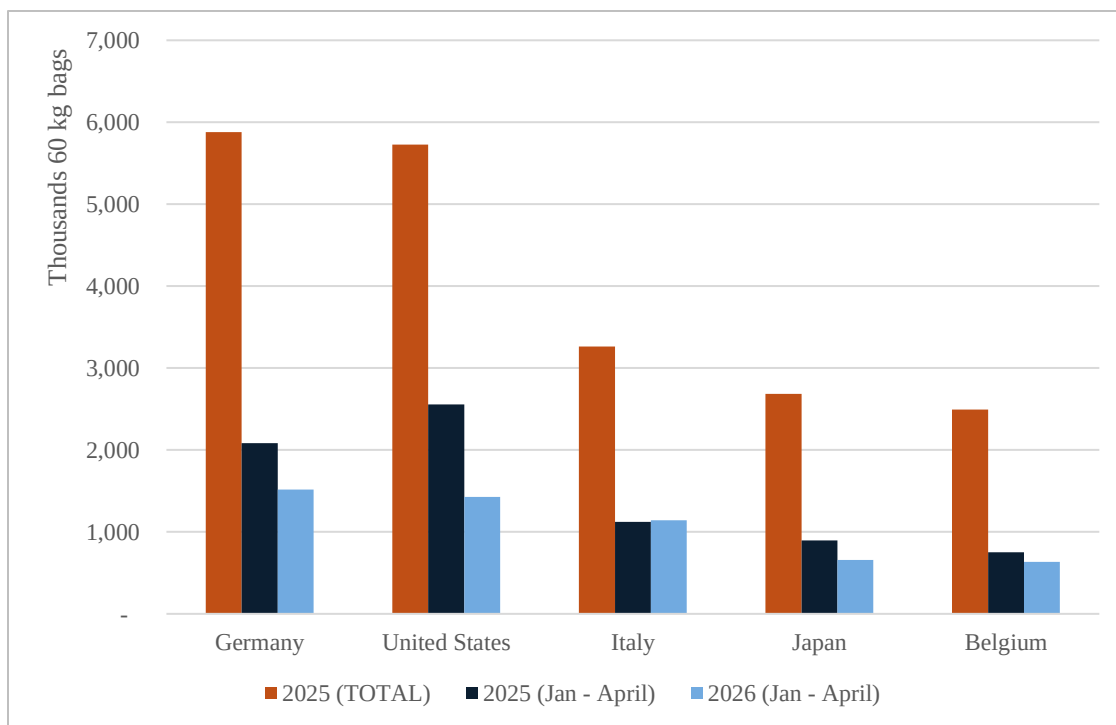
Data Source: Trade Data Monitor LLC; Graph Post Brasilia

According to the Brazilian Coffee Exporters Council (CECAFE), specialty coffees, including those certified for sustainable practices and superior quality, responded for almost 18 percent of the total exports of Brazilian coffee during the first four months of 2026. The volume represents a 36 percent

drop in relation to the same period of 2025. Germany was also the main buyer of specialty coffee, purchasing 13 percent of this type of product in the first four months of 2026. Italy (12%) surpassed the United States (11.6%) to become the second destination of specialty coffee this year. Brazil is experiencing a rise in domestic production and consumption of specialty coffee. To learn more about it, see GAIN report [Brazil: Brewing Opportunity - Brazil's Specialty Coffee Sector Shows Strong Potential](#)

Germany was the main buyer of Brazilian coffee in 2025 and remains in 2026 to date, followed by the United States, Italy, Japan, and Belgium. From January to April 2026, Germany accounted for 15 percent of all purchases of green bean coffee from Brazil, followed by the United States (12%), Italy (11%), Belgium, with a little over 6 percent, and Japan, slightly under 6 percent of sales destination.

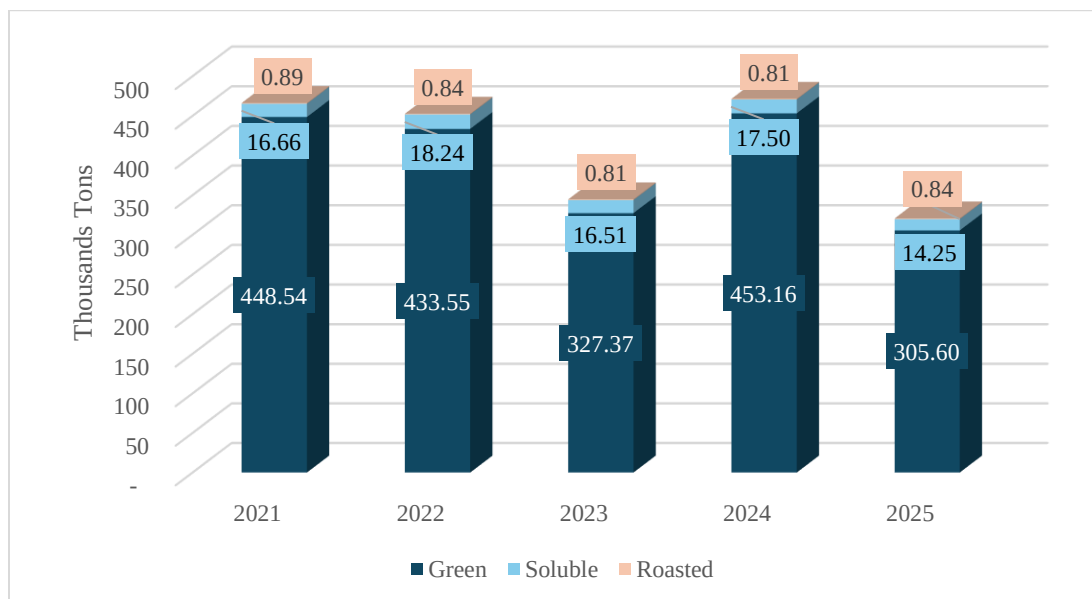
Figure 10
Main Destination of Brazilian Coffee



Data Source: Trade Data Monitor LLC; Graph Post Brasilia

The United States is the largest coffee-consuming market in the world, with Brazil holding over 30 percent of the market share in the U.S. Brazil has traditionally been the main source of coffee imports for the United States, supplying about 32 percent of green coffee. This is followed by Colombia (20%), Vietnam (8%), and Honduras (7%). The NCA estimates that coffee imports from other countries cannot replace Brazilian coffee, as Brazil's export volume is nearly equal to the combined volumes of the next three largest coffee producers.

Figure 11
Brazilian Coffee Exports to the United States (2021 to 2025)



Data Source: Trade Data Monitor LLC; Graph Post Brasilia

The provisional approval of the trade agreement between the European Union and Mercosur opens a path for a new free trade zone that could further boost Brazilian coffee exports. The treaty sets a gradual reduction of tariffs, larger agricultural quotas, and common rules for industrial goods, investments, and regulatory standards.

The agreement aims to boost regional trade. Green coffee beans already enter Europe duty-free. The bloc taxes soluble coffee at 9 percent and roasted and ground coffee at 7.5 percent. Vietnam, Brazil's main rival in soluble coffee, already exports to Europe with no tariffs. The EU-Mercosur agreement could increase Brazilian soluble coffee's competitiveness in Europe when tariffs drop to zero in 4 years.

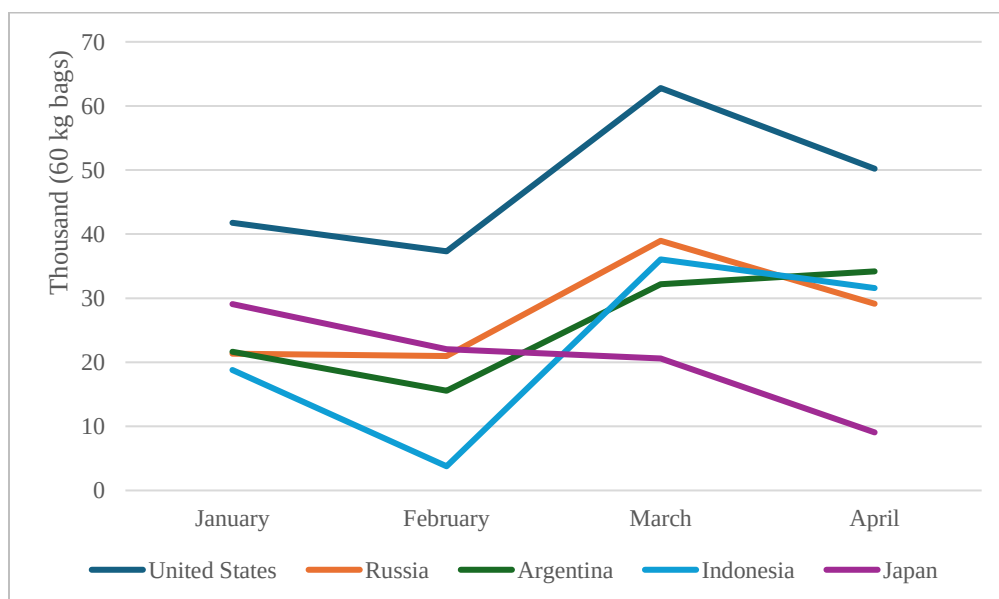
Among the main producers, Brazil mainly exports coffee to Mexico, Colombia, Vietnam, and Indonesia. In August 2025, Brazilian coffee exports to Colombia rose by almost 400 percent over the previous year. This jump was due to higher tariffs applied by other traditional buyers, pushing Brazilian producers to seek new markets.

Table 4*Brazilian Coffee Exports to Producing Countries (January to April)*

	January - April 2025	January - April 2026	Variation (%)
Colombia	155,750	356,007	129%
Mexico	296,462	259,694	-12%
Vietnam	190,332	96,493	-49%
Indonesia	102,510	96,086	-6%
Ecuador	41,210	32,437	-21%
Dominican Republic	39,171	16,964	-57%
India	24,733	12,352	-50%
Philippines	5,585	3,724	-33%
Costa Rica	241	30	-88%

Data Source: Trade Data Monitor LLC; Table Post Brasilia

From January to April 2026, Brazil exported 1.4 million 60 kg bags of soluble coffee to 88 countries, marking a 4 percent increase compared to the same period in 2025. The United States remained the primary destination for this product during the period, importing over 192,000 bags, followed by Russia (110,300 bags) and Argentina (103,500 bags).

Figure 12*Main Destination of Brazilian Coffee (Soluble), 2026 (January - April)**Data Source: Trade Data Monitor LLC; Graph Post Brasilia*

Imports

Despite being the world's largest producer and exporter of coffee, Brazil also registers imports of the product, albeit a negligible amount. Imported coffee serves primarily to compose blends of specialty and soluble coffees, meeting the industry's demand for specific varieties and low-cost raw materials.

For MY 2025/26 (July-June), 49 percent of all roasted coffee imports into Brazil came from Switzerland, followed by France (19%), Portugal (8%), Italy (7%), the United States (6%), and Uruguay (5%).

Coffee Stocks

Post forecasts total ending stocks for MY 2026/25 at 4.4 million bags. MY 2025/26 stocks are estimated at 3.8 million bags. This indicates a recovery after the previous cycle's shortfall. The outlook for the second half of the year is more favorable, thanks to the upcoming 2026/27 Brazilian harvest. However, short-term arabica coffee availability is low, which supports shorter-term sales. Additionally, the possible consolidation of El Niño is causing apprehension. Producers are holding back on sales and favoring stocks.

Another factor that needs to be considered is the trajectory of the Brazilian real (BRL) against the US dollar (USD). The real has appreciated in recent months, reaching BRL 4.90 for the first time since January 2024. A lower exchange rate may ease some domestic inflationary pressure. But it also reduces Brazilian exporters' margins, decreasing their incentive to sell stocks.

Coffee Policy

The Government of Brazil has allocated the 2026/27 Coffee Economy Defense Fund (FUNCAFE), but the distribution of the funds will still be submitted for deliberation by the Deliberative Council on Coffee Policy (CDPC) and, subsequently, for approval by the National Monetary Council (CMN), a necessary step for the effective operationalization of the funds through financial agents.

The coffee sector is the only Brazilian agribusiness sector with its own fund, comprised of resources originating from the producers. The purpose of the funding is to:

1. Develop the coffee production chain in Brazil through financing and incentives for the modernization of coffee farming. It also supports coffee research aimed at developing plants resistant to pests, diseases, and adverse climatic conditions.
2. Support industry and exports, with the goal of increasing consumption and seeking new markets, securing buyers for coffee produced on rural properties.
3. Promote the orderly operation of supply, including financing storage to prevent coffee growers and their cooperatives from having to sell coffee during periods when prices are at their lowest.

Table 5*Coffee Economy Defense Fund (FUNCAFE) 2026/27*

	2023/24	2024/25	2025/26	2026/27
Crop Management	BRL 1.62 billion	BRL 1.73 billion	BRL 1.81 billion	BRL 1.61 billion
Marketing Financing	BRL 2.35 billion	BRL 2.49 billion	BRL 2.60 billion	BRL 2.71 billion
Financing for the Acquisition of Coffee (FAC)	BRL 1.48 billion	BRL 1.61 billion	BRL 1.69 billion	BRL 1.71 billion
Recovery of Damaged Coffee Plantations	BRL 30.0 million	BRL 30.0 million	BRL 31.3 million	BRL 180 million
Working Capital (industry and cooperatives)	BRL 883.75 million	BRL 1.01 billion	BRL 1.06 billion	BRL 1.15 billion
TOTAL	BRL 6.37 billion	BRL 6.88 billion	BRL 7.18 billion	BRL 7.37 billion

Data Source: Coffee Policy Deliberative Council (CDPC); Table Post Brasilia

The Government of Brazil, through CONAB, sets policies and programs to guarantee that producers are paid the minimum prices for coffee in case market prices are below the minimum guaranteed price. Measures include purchasing coffee directly from producers (Federal Government Acquisitions) or paying a premium to buyers to move the product from growers to the destination (Product Flow Premium Program), among others.

For arabica coffee, the minimum price for the 2026/27 harvest was set at BRL 792.53 per 60-kilo bag, a 20 percent increase compared to the previous season. For robusta, the price was set at BRL 556.97 per 60-kilo bag, 12 percent year-on-year increase. The increases are credited to the sharp rise in coffee prices in the domestic market. The new minimum prices for coffee are effective from April 2026 through March 2027.

Table 6*Coffee Minimum Guaranteed Prices (BRL/60kg bag)*

	2021/22	2022/23	2023/24	2024/25	2025/26 (a)	2026/27* (b)	Variation (a/b)
Arabica type 6	369.40	606.66	684.16	637.91	662.04	792.53	19.71%
Robusta/Conilon type 7	263.93	434.82	460.02	423.08	498.79	556.97	11.66%

*Data Source: Ministry of Agriculture and Livestock; Table Post Brasilia, with *2026/27 Prices valid from April 2026 to March 2027; Table Post Brasilia*

Attachments:

No Attachments